

TERMS TO KNOW

RERA ACT (REAL ESTATE REGULATORY AUTHORITY ACT)

The Government of India introduced the RERA bill intending to safeguard the interests of homebuyers across the country and to prevent them from being exploited by builders. So, RERA Act created authority in each state that will have to grant permission to every project. Each project comes with a specified time limit and if the project is not completed before the deadline, the builder will be liable to pay interest to the homebuyers. Also, builders will not be able not to misuse the money given to them to construct their properties.

RERA is one of the most important Acts related to real estate development. It brings transparency to space and safeguards the interests of buyers.



RENTAL YIELD

Rental Yield is the rental income that the real estate owner receives from the asset. It is expressed as a percentage of the asset's market price and represents the rent productivity of the asset. It resembles the interest earned on the property. This comes in as direct cash inflow instead of capital appreciation which is only paper profits.

$$\text{RENTAL YIELD} = \frac{\text{ANNUAL RENTAL INCOME}}{\text{MARKET VALUE OF THE REAL ESTATE}}$$

A yellow rectangular sign with the words 'FOR RENT' in bold red capital letters is mounted on a wooden post. The sign is positioned on the left side of a dark grey road that curves into the distance. The road has white dashed lines and a white solid line. A small patch of green grass is at the base of the signpost.

FOR RENT